INDIAN ECONOMY

LEVEL II

LECTURES

- WHAT IS AATMANIRBHAR BHARAT?
- WHAT ARE THE CHALLENGES ON THIS FRONT?

MODULE - 15

HOW CHINA BECAME CENTRAL TO GLOBAL AND REGIONAL SUPPLY CHAINS?

STATE LED INFRASTRUCTURE AND HUGE CAPACITY CREATION

- China established huge capacity.
- It has broad based its industrial sector by giving emphasis to different sectors.
- Hence, we can see China's footprint in several products.

CHINA IS ALSO A MAJOR CONSUMER!

- China's biggest value comes as a final stage assembler. It is also a major consumer for final products.
- Now, the emphasis after COVID-19 is to make the businesses with shorter supply chains and locate them closer to the final demand markets.
- Here, as China is the important consumer also, it becomes very difficult, at least for some industries to move out of China!

SEE THE CASE OF INDIA! … FDI IN MANUFACTURING IS NEEDED … BUT, SERVICES IS PREFERRED!

- The 'Make in India' strategy talked about FDI into manufacturing, but majority of the FDI is coming to the services sectors. Many of these services sectors do not need any foreign investment.
- When one looks at manufacturing sector, we don't have skill sets as in services sector.
- Moreover, most of the FDI in our country is coming into brownfield sectors.
- Examples are, Walmart's acquisition of large stake in Flipkart and Facebook's investment in Reliance Jio.
- The next issue is lack of world class infrastructure.

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INDIA IS INCHING TOWARDS MORE PROTECTIONISM!

There are clear signals in the last few years. India is becoming more protectionist because, the import tariffs on several goods were increased.

HOW THE GOVERNMENT IS DEFINING AATMANIRBHAR BHARAT?

- It is not protectionism.
- It is not inward looking.
- It is not just import substitution.
- It is not economic nationalism.
- In the words of CEO, NITI Aayog, Atmanirbhar Bharat make India self-reliant by creating an ecosystem that will allow Indian companies to be highly competitive on the global stage.

PLI Scheme is expected to drive India's manufacturing growth in the next few years.

NOT SO ROSY PATH FOR CREATING AATMANIRBHAR BHARAT!

1 MANUFACTURING COSTS

- India is not exactly a low-cost production base. Take the power costs - it costs 11 cents a unit in India compared to 8 cents in Vietnam and 9 in China.
- Labour cost, in real terms, is low but if one has to factor productivity, it is way below China, Brazil or South Korea.

Indian companies are forced to spend more on training its workforce.

2 LOGISTICS COSTS

- At 14% of GDP, India's logistics cost is way above its peers in the developed world, which is at around 6-8%.
- In India, logistics cost typically means transportation costs, whereas in advanced countries, it includes planning, procurement and warehousing, on account of very high level of outsourcing.
- If we take into account the way the Western World calculates logistics costs, India's logistics cost is at least 3x compared to developed countries.

NOT SO ROSY PATH FOR CREATING AATMANIRBHAR BHARAT!

3 COMPLIANCE COSTS

- Indian companies suffer from high regulatory and other compliance costs.
- Even though the Government has been working to reduce this through digitalization, it remains high and put Indian companies at a disadvantageous position in the world stage.

4 INVESTMENTS IN R&D

- Total investments in research and development and innovation has been on the decline over the years.
- It was 0.84% of GDP in 2008, and in 2018, it was 0.6%.
- Bulk of R&D spending happens at the defence and space sectors.
- In the private sector, it is in auto and pharmaceutical industries. But here too, much of it is 'catching-up' with what others have already developed.
- Investment in cutting-edge technologies is clearly missing.

NOT SO ROSY PATH FOR CREATING AATMANIRBHAR BHARAT!

5 HIGH INTEREST RATES

- What companies pay to borrow here is relatively much higher, than say in USA or Japan.
- Indian products can compete across the world, only if interest costs drop.

6 OTHER ASPECTS WHICH NEED TO BE LOOKED AT

- Policies must be predictable and transparent.
- Improving the skillsets towards high-end manufacturing.
- Massive overhaul of the education system, with focus on the quality orientation.
- Centre and State coordination.
- No protection to be given to the domestic industries and they should strive towards global competitiveness.

If the Government is serious in implementing this economic philosophy, it should clearly list out areas which need improvement to make Indian manufacturing competitive.

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